When a Government Can Switch Off a Frontier Model, the Hedge Is Local AI

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On June 18, 2026, a White House directive switched off Anthropic's Mythos and Fable 5 models for foreign nationals, and Anthropic pulled them everywhere, inside and outside the United States. Even the roughly 150 companies in its Mythos access program, with Nvidia, Microsoft, Google and Apple among them, lost the models when they went dark. That same month, a different kind of AI kept shipping: models you download and keep. Z.ai released GLM-5.2,

a 753-billion-parameter coding model under the open MIT license. Moonshot put out Kimi K2.7 Code, with 1 trillion parameters. Google shipped DiffusionGemma. Tiny models like Moebius, at 0.2 billion parameters, matched systems more than 50 times their size.

A model sitting on your own drive cannot be revoked. Once the weights are downloaded, no vendor and no government can flip a switch and take them back. The small ones make that practical: a 0.2-billion image editor or a 3-billion reasoner runs on a laptop or a phone, with no API bill and no account to lock. NVIDIA's own researchers argue that small language models are the future of agentic AI, since most agent steps are narrow enough for a right-sized local model to handle them cheaper and faster than a giant one behind an API.

This reframes open versus closed as a question of resilience, not just price. When access to the best models can end with a single order, owning the weights and running them yourself stops being a hobby and becomes a continuity plan. The hedge against a switch is a copy you already hold.

Read More: the week a government switched two frontier models off, and how a 3-billion model, VibeThinker-3B, matches the giants.

Sources:

- Anthropic confident of re-enabling Mythos, Fable 5 access (Korea JoongAng Daily)
- GLM-5.2: Built for Long-Horizon Tasks (Z.ai)
- Kimi K2.7 Code weights (Hugging Face)
- Introducing DiffusionGemma (Google)
- Small Language Models are the Future of Agentic AI (NVIDIA, arXiv)

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